Consumer Duty [1]

Consumer Support Outcome: good practices and areas for improvement

Good and poor practice

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Summary
Our Methodology
What we found
Meeting customers' needs
Access to support
Culture, Governance and Accountability
Outcomes monitoring

Read the findings of our review into firms' approaches to consumer support.

Summary

This publication sets out the findings of our review of firms' approaches to the consumer support outcome of the Consumer Duty [2] (the Duty).

The consumer support outcome is one of the four key outcomes of the Duty. It should be viewed alongside the other outcomes and cross-cutting obligations of the Duty. The requirements and our expectations are set out in PRIN 2A.6 [3] and Chapter 9 of our Finalised Guidance [4] (FG 22/5).

We want firms to provide a level of support that meets customers' needs throughout their relationship with the firm. Firms' customer service should enable customers to realise the benefits of the products and services they buy and support them in pursuing their financial objectives.

These examples of good practices and areas of improvement are intended to help firms understand our expectations and continue evolving their approach. The Duty provides the flexibility of an outcomes-focused, rather than prescriptive approach. How firms implement these findings will depend on their business, size and circumstances.

Overall Findings - good practices

Keeping customers' needs front and centre

Most firms were considering how the support they provide meets their customers' needs. We saw some firms with effective frameworks in place that ensured they had taken steps to understand their customer base, designed their support around their customers' needs, monitored the success of the actions they had taken to deliver good outcomes and took steps to remedy any shortfalls.

The below sets out example features of good customer support frameworks seen in firms.

1. Setting clear objectives

- Target market: identifies who the product is designed for and understands their needs, including any characteristics of vulnerability.
- Defines what good outcomes look like for customers, taking into account their needs and objectives.

Example: We saw one firm's customer support framework clearly aligned to its target market and the customer cohorts within this. As part of this, the firm told us how it identified different characteristics of vulnerability such as limited English proficiency, and adapted its support offering to ensure particular customer cohorts do not experience worse outcomes.

2. Defined actions

- Demonstrates how support channels are designed to meet customers' needs and help them pursue their objectives,
- Embeds a culture focused on good outcomes and provides staff with appropriate training and support.

Example 1: Some firms undertook customer journey mapping to identify and address possible 'sludge' practices.
Example 2: A smaller firm required all staff to have some engagement with customers as part of their role to gain insights into the customer base, such as by shadowing customer support teams, responding to feedback or conducting user research.
Example 3: A smaller firm set up training and support measures to improve the emotional resilience and wellbeing of its customer service agents.

3. Outcomes monitoring

- Monitors and regularly reviews the outcomes customers are experiencing, using appropriate metrics.

Example: Some firms used proactive tools (such as speech analytics technology in call centres) to assess the quality of support they provide and identify potential risks of poor outcomes to ensure they are

addressed.

4. Reflection and reform

- Spots risks of poor outcomes and understands the root cause, with processes in place for continuous improvement.

Example: An insurance firm worked with its Appointed Representatives (ARs) to improve the claims handling process and implement an action plan in response to a negative feedback trend identified.

Proactively understanding the needs of customers

Some firms have improved their systems and processes to better understand customers' needs and have tailored their support offering to meet those needs, for instance, by ensuring digital support channels lead to good outcomes.

Reviewing customer journeys to ensure support is easily accessible

Many firms have reviewed their end-to-end customer support journeys in response to the Duty and made changes, such as removing unreasonable barriers to ensure support is easily accessible. Some firms also built in appropriate frictions in their processes to give customers sufficient opportunity to understand and assess their options, including any risks.

Building a culture that delivers good customer support outcomes

Firms made a range of changes to remuneration, performance management and governance in response to the Duty, which emphasise the importance of consumer support in firms' cultures. Many firms have structured training programmes to help employees deliver good customer support.

Monitoring whether customers are receiving the support they need

Firms that monitor a range of customer support metrics were able to gain richer insight into the overall outcomes that consumers receive. Where risks of poor outcomes were identified, some firms demonstrated appropriate actions taken to address the root cause, for instance, by updating customer support processes, or adjusting their operations.

Overall findings – areas of improvement

Aligning support processes to the target market

Some firms do not appear to have aligned their support processes around their customers' needs, while other firms lack a clear understanding of their target market. This may prevent firms from providing support that meets the needs of their customers, including those with characteristics of vulnerability.

Making post-sale support as accessible and effective as pre-sale support

We saw some examples of poor outcomes when accessing support, for instance, long wait times and inaccessible information. Firms should not disproportionately focus on pre-sales over after-sales support, including where

services are provided on their behalf by third parties.

Embedding a culture that is in step with the Duty

Some firms were unable to demonstrate substantive steps taken to drive cultural change in line with the Duty. Some failed to show that appropriate training and other measures were in place for staff so they could their role in delivering good outcomes.

Monitoring a broader range of outcomes about effective customer support

Some firms relied on transactional metrics, such as contact rates and wait times, or took a solely reactive approach in their monitoring, relying on customer feedback or complaints to identify issues. Where the customer support function is outsourced to a third-party provider, we have seen mixed progress of firms implementing effective Management Information (MI) oversight or information flow with the third-party firm.

Our Methodology

In May 2024, we carried out an initial quantitative survey of 407 retail financial services firms across the banking, insurance, payments, consumer finance, and investments sectors. We received 356 responses. This was followed by an information gathering exercise covering a sample of 40 firms in September 2024, to understand their approach to the consumer support outcome in more detail.

We recognise that there will be differences in the approaches and capabilities of each firm, depending on its size and activities. In selecting our samples, we sought to ensure reasonable coverage of small, medium and large firms with a variety of business models.

In assessing the responses, we focused on the overarching requirements of the Duty in relation to the support being provided to customers across 4 areas:

Meeting customers' needs

How has the firm satisfied itself that its customer support is effective at meeting customer needs? And what assessment has the firm made about whether its customer support is meeting the needs of customers with characteristics of vulnerability?

Access to support

How has the firm satisfied itself that its customers can access support easily and without unreasonable barriers?

Culture, Governance and Accountability

How has the firm ensured that good consumer support is reflected in their strategies, governance, leadership and people policies?

Outcomes monitoring

What data, Management Information (MI) and feedback is the firm using to monitor the impact its consumer support is having on customer outcomes?

What we found

Meeting customers' needs

Requirements

Our rules (PRIN 2A.6.2R) require firms to design and deliver support to retail customers that meets their needs, including those with characteristics of vulnerability, alongside other requirements.

Good practices

- **Proactively understanding the needs of customers**: We saw one firm's customer support framework clearly aligned to its target market and the customer cohorts within this. As part of this, the firm told us how it identified different characteristics of customers such as limited English proficiency, and adapted its support offering to ensure particular customer cohorts do not experience worse outcomes.
- **Improved systems and processes**: Many firms have enabled their customers to disclose their needs, with some firms seeing better information recorded. 81% of firms in our quantitative survey told us that their customer-facing employees have easy access to an internal recording mechanism for the disclosure or identification of a consumer with characteristics of vulnerability.

  Other examples of good practice include:
  - Introducing an online tool for customers to self-disclose support needs.
  - Using the TEXAS model (Thank, Explain, eXplicit consent, Ask, Signpost) to help ensure staff record relevant information while meeting data protection requirements (see paragraph 3.18 of FG21/1 [5] for more detail on the TEXAS model).
  - Proactive monitoring of account activity to identify customers who may be experiencing gambling-related harm and better supporting them including by applying appropriate friction, and training customer facing staff on a vulnerable customer toolkit that includes identifying and signposting those experiencing financial difficulties to a third-party organisation for further help and support.
- **Enhanced digital support**. Some firms actively considered their digital support offering so it leads to better outcomes for customers. While we do not prescribe which channels firms must offer, they must ensure the channels of support they do offer meet the needs of their customers, including customers dealing with non-standard issues, and customers with characteristics of vulnerability.
  - Some firms complemented digital channels with human touchpoints wherever complex needs were identified, for example, automatically directing queries from a webchat chatbot about bereavement to a customer support representative to ensure they are handled sensitively.
  - One firm had enhanced its web chat by programming keywords relating to vulnerability to trigger a flag to customer support representatives, and ensuring these customers were swiftly moved into a high priority queue.
  - One firm used creative, non-stigmatising language to prompt vulnerability disclosure from customers, where they can get help by asking to discuss their wellbeing in the app. This not only helped prompt permanent or ongoing issues but also those of a more one-off or short-term nature. The firm made it clear that no issue is too small ('whatever it is') to affect how a customer manages their money.
  - One firm applied data analytics to both transactions and chat to drive a potential vulnerability 'score'. This score was then used to adjust specific customers' support offering to better meet their needs.

- **Tailored offerings:** 48% of firms in our quantitative survey said they offer dedicated telephone support to customers with characteristics of vulnerability, and 44% of firms said they offer dedicated email support.

Some smaller firms had more detailed knowledge of each individual customer which enabled them to tailor their support offering. For example, a wealth management firm had regular telephone contact with its customers to check on their wellbeing and whether their circumstances had changed. This gave the firm confidence that the service they were offering met the financial objectives of the customer, therefore meeting their customers' needs

Areas for improvement

- **Aligning support processes to the target market**. We expect all firms – regardless of their size and business models – to design their support services around the needs of their customers. This means understanding their customer base and identifying where there are specific needs. We want to see firms think innovatively to find new ways of serving customers well. Firms need to challenge themselves on their existing approach to support.
  - Some firms do not appear to have designed their support with the needs of their customers front of mind or they lack a clear understanding of their customer base and target market.
  - Some firms appear to prioritise the overriding aims of making sales or retaining customers over good customer outcomes. For example, we saw inadequate target market statements that focus on sales-generation and fail to consider customers' objectives and needs. This approach is unlikely to enable the firm to design and deliver support services that lead to good customer outcomes.

Access to support

Requirements

PRIN 2A.6.2R(3) and (4) require firms to ensure that customer journeys include appropriate friction to mitigate the risk of harm, and that customers do not face unreasonable barriers (including unreasonable additional costs) during the lifecycle of a product. What amounts to appropriate friction or unreasonable barriers (such as 'sludge' practices that restrict customers from acting in their interests) is a judgement for the firm, considering whether good outcomes are likely and foreseeable harm can be mitigated against. Firms should also be mindful of the Duty's cross-cutting rules, demonstrating how they act in good faith to support customers in pursuing their financial objectives.

Good practices

- **Customer profiles and journey mapping**. Some firms are putting themselves in customers' shoes to ensure support channels meet customers' needs. This includes undertaking customer journey mapping to identify and address possible negative friction points or 'sludge' practices. It also includes developing customer profiles or personas to put themselves in the shoes of customers with certain characteristics, so they could identify potential pain points from the viewpoint of different customer cohorts and make improvements.
- **Removing unreasonable barriers**. Many firms have reviewed their end-to-end customer support journeys in response to the Duty and made changes, such as removing any unreasonable barriers in exiting or switching products. One firm introduced a process where customers can request to break their fixed term savings product without penalty where the customer experienced a change of circumstance or fell into financial difficulty.
- **Applying appropriate frictions**: Some firms have built in appropriate frictions in their processes to give customers sufficient opportunity to understand and assess their options, including any risks. A financial advice firm adopted a staged advice process designed to allow clients time to reflect and built in a purposeful additional step for higher-risk products to test and evidence client's understanding.

Smaller firms with less resources may offer fewer support channels, but we expect all firms to ensure the channel(s) that they do offer meet the needs of their customer base.

- One firm decided to introduce digital chat journeys for customers looking to cancel or downgrade their policy, following a review of its in-life and cancellation journeys. In doing so, it undertook risk assessments and considered situations where the customer is at risk of under-insurance and a telephone conversation may be appropriate to help customers make informed decisions. This is a positive example of a firm carefully considering the **effect of its support channels** on customers' ability to exit products or to act in their interests more broadly.
- **Tailoring and testing communications**. Many firms enhanced accessible communications for customers with impairments, such as websites compliant with the Web Content Accessibility Guidelines (WCAG), and documents in alternative formats such as large print, audio or braille. Some firms have also applied appropriate methods of testing to assess whether communications lead to good outcome for customers. The approaches firms take will depend on the complexity of the product and the firm's objectives and resources. These can range from informal reviews by internal staff, to more formal approaches such as focus groups or surveys.

Areas for improvement

- **Making post sale support as accessible and effective as pre sale support**. Firms should consider their end-to-end support journeys and not disproportionately focus on pre-sales over after-sales support. This includes ensuring that there is sufficient oversight of support services provided by third parties.
  - We identified some instances of differential outcomes in relation to accessibility of support which may lead to poor outcomes for customers, for instance, longer wait times for existing customers looking to terminate or downgrade their product. Some firms need to consider how they make it at least as easy to switch out of a product, leave their service or make a change, as it is to buy in the first place.
  - Some firms appeared to conduct limited testing to ensure end-to-end customer journeys delivered good outcomes. A mortgage provider in our sample only had direct contact with customers pre-sale and it was unclear how it worked with its Appointed Representatives (ARs) providing post-sale support to ensure consistency in the quality of support throughout the product lifecycle.
- **Supporting consumer understanding**. There is a close relationship between the consumer support outcome and the consumer understanding outcome. A customer not receiving the right information will increase the risk of them not receiving appropriate support. According to our Financial Lives 2024 survey, in one in five (19%) recent contacts or attempted contacts with a financial services provider, consumers' experience of finding the right contact information was very or fairly difficult, or it was not possible to find this information. In 13% of contacts where it was possible to get through to someone, what the provider said in response to the query was very or fairly difficult to understand. Some firms have more to do to ensure they communicate and present information in a way that makes support processes accessible to customers.

Culture, Governance and Accountability

Requirements

Firms are required to ensure acting to deliver good outcomes is reflected in their strategies, governance, leadership and people policies, including incentives at all levels (PRIN 2A.8.1R).

Good practices

- Many firms took tangible measures to signal the importance of consumer support to employees in its culture and people frameworks. We saw a range of positive changes made in areas such as:
  - **Performance management frameworks**: Using 'Customer Advocacy' as a performance metric for employees, which consists of various customer satisfaction metrics, to replace productivity-based measures.

- **Staff training and engagement programmes**: Partnering with charity organisations who provided training and materials to help employees better understand the needs of certain cohorts of customers.
- A Principal firm rolling out training programme for its ARs on how to meet the needs of clients under the Consumer Support outcome across the advice journey.
- Requiring all staff to have some degree of engagement with customers as part of their role to gain insights into the customer base, through shadowing customer support teams, responding to feedback or conducting user research.
- **Staff incentives**: Cross-company recognition of individuals for customer support achievements, reinforcing the importance of good consumer outcomes in the firm's culture and values.
- **Governance**: Designing a governance framework to promote a customer focused culture, and introducing a new committee as the formal route for proactively identifying and planning mitigation for potential risks or evolving issues that could lead to poor customer outcomes.

- Many firms have structured training programmes for employees aimed to help them deliver good customer support. For example, 66% of firms in our quantitative survey have specialist training for vulnerability, such as dedicated training for front-line staff on how to actively identify signs of vulnerability and how to discuss support needs with them.

Smaller firms tend to have tailored their cultural and people frameworks to reflect their business with some including structured training offering to ensure relevant employees are equipped to deliver positive customer outcomes. For instance, a smaller firm runs a two-week induction programme for new joiners focused on customer outcomes. This is supplemented by an informal, self-directed refresher training on an allocated timeframe and a formal, annual training for existing staff members.

A smaller firm set up training and support measures to improve the emotional resilience and wellbeing of its customer service agents. It provided them the opportunity to walk away to depressurise after a difficult call, and access to a 24/7 employee assistance programme to help prevent burnout, after identifying a link between employee emotional drain and poor customer outcomes from customer support.

Areas for improvement

- Some firms were unable to demonstrate substantive steps taken to drive cultural change in line with the Duty. Firms' boards, or equivalent governing bodies, and senior management should ensure that they are embedding a culture in which good outcomes for consumers are central. People management policies and practices, including performance management, pay and bonuses, are crucial in this.
- Some firms failed to evidence appropriate training and other measures that enable their staff to understand their role in delivering good outcomes. A smaller firm mentioned it did not have any structured training offering due to its size, but did not provide details of how relevant employees are equipped to support customers with non-standard needs, and customers with characteristics of vulnerability.
- One firm has mission and culture statements which contain outdated language that is inconsistent with delivering good consumer outcomes. This appears to be an outlier case, but all firms should consider whether their statements of purpose (whether publicly articulated or not) aligns with their obligations under the Duty.

Outcomes monitoring

Requirements

Firms are required to regularly monitor the outcomes from customer support and carry out monitoring that enables them to determine whether retail customers receive the support they need (**PRIN 2A.9**)

Good practices

- Firms that monitor a range of support metrics were able to gain richer insight into the overall outcomes that consumers receive. Many firms used a combination of qualitative and quantitative information in monitoring telephone support to understand customers' experience.
- We saw firms using a range of MI and feedback mechanisms to monitor outcomes, which reflect the size of the firm, the products and services they offer, and the customer base they serve. Examples include:
  - Proactive tools (such as speech analytics technology in call centres) to assess the quality of support they provide and identify potential risks of poor outcomes to ensure they are addressed.
  - Colleague feedback as a valuable source of insight into first-hand customer experiences and improvement areas, particularly from colleagues who regularly interact with customers. For instance, the CEO of a firm has monthly informal coffee sessions with customer-facing colleagues to hear any issues they face in relation to customer support.
  - Annual product reviews which assess the product against each Duty outcome. This assessment considers the ease of access, usability and availability of appropriate support across the product lifecycle, and the outcomes for customers with characteristics of vulnerability.
  - Governance forums where different customer support metrics are discussed at regular intervals. Each forum has a clearly defined role and responsibility for a specified set of customer support metrics.
  - Regular call listening sessions where senior management reviews customer interactions to reinforce continuous improvement.
  - Identifying the customer journeys at highest risk of harm and undertaking thematic reviews to test outcomes from those journeys, for instance, journeys involving serious ill health, bereavement, and cancellation of life insurance policies.
  - Customer outcome testing programmes which may involve review of customer files, or direct interviews with cohorts of customers about the quality of support they received throughout their journey, considering a wide range of factors, such as fair value and product suitability, as well as availability.
- Some forms of monitoring will be more frequent than others. For example, we would expect firms to gather and review customer support data and complaints data on an ongoing basis whereas file reviews, sludge audits and focus groups are more likely to be carried out at regular intervals or on an ad hoc basis.

Smaller firms may have less detailed monitoring strategies. They may, however, consider whether they are using the same MI capabilities to inform other elements of their business such as product development or sales, to also monitor outcomes.

- Where risks of poor outcomes are identified, some firms demonstrated action taken to address the root cause, for instance, updating customer support processes, or adjusting their operations. For instance, an insurance firm worked with its ARs to improve the claims handling process and implement an action plan in response to a negative feedback trend identified.

Areas for improvement

- **Monitoring a broader range of outcomes about effective customer support**. Some firms relied on transactional metrics, such as contact rates and wait times, or took a solely reactive approach in their monitoring, relying on customer feedback or complaints to identify issues. In some instances, firms' approaches largely involve repackaging existing data, with limited consideration of gaps or customer outcomes they intend to monitor. 13% of firms we surveyed told us that they don't carry out any quality assurance on the support channels they offer.
- These approaches may not be sufficient for testing whether the support they provide lead to good overall outcomes. While the operational efficiency or speed of service is a key aspect of customer support, we want to see firms provide the right support to customers and consider a range of metrics – both qualitative and quantitative – and feedback mechanisms to ensure this is the case.

- Where the customer support function is outsourced to a third-party provider, we have seen mixed progress of firms implementing effective MI oversight or information flow with the third-party firm. Firms are responsible and accountable for all the regulatory responsibilities applying to outsourcing and third-party arrangements. This means that firms need to have arrangements in place with their outsourcers to capture any data necessary to enable them to monitor whether the outsourced service is supporting good consumer outcomes beyond just measuring operational efficiency.

Page updates

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- [1] https://www.fca.org.uk/search-results?topic_tags=f.Tag%7CfcaSearchTag%3DConsumer%20Duty&sort_by=dmetaZ
- [2] https://www.fca.org.uk/publications/good-and-poor-practice/consumer-support-outcome-good-practices-areas-improvement
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